

Requirement: Utility Monitoring and Control Systems
Location: CONUS & OCONUS

Control Number: [REDACTED]

**JUSTIFICATION REVIEW DOCUMENT
RFO Part 6 Justification and Approval
for Other than Full and Open Competition**

Program/Equipment: Utility Monitoring and Control Systems (UMCS) V Multiple Award Task Order Contract (MATOC) in support of United States Army Corps of Engineers (USACE), Huntsville Center's UMCS Program.

Authority: 10 United States Code (U.S.C.) 3204(a)(1) as implemented by Revolutionary FAR Overhaul (RFO) Part 6.103-1(c)(2)(ii) "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

Amount: The UMCS V MATOC has a shared capacity of \$2,100,000,000. This Justification and Approval (J&A) requests an additional \$491,395,960.00 in capacity to bring the new shared capacity up to \$2,591,395,960.

Ordering Period: This is a seven-year MATOC pool, with a 48-month base, three 12-month optional ordering periods, and up to six additional months if FAR 52.217-8, Option to Extend Services, is exercised.

Current Ordering Periods

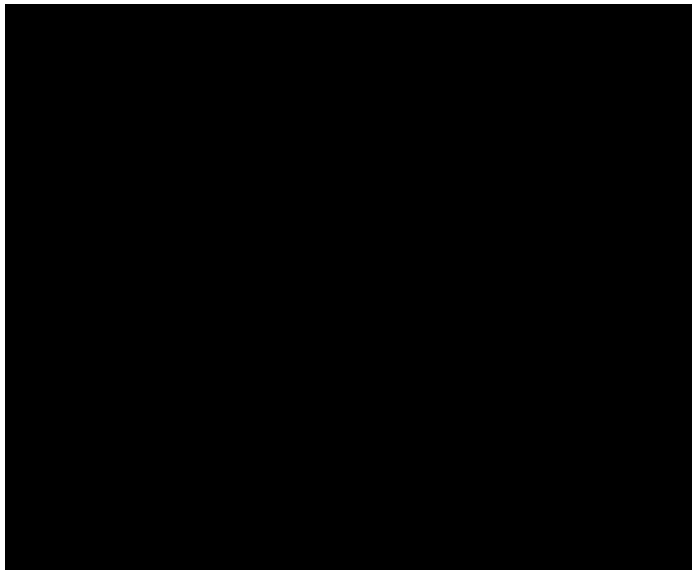
Base Period:	22 January 2020 – 21 January 2024
Option Year 1:	22 January 2024 – 21 January 2025
Option Year 2:	22 January 2025 – 21 January 2026
Option Year 3:	22 January 2026 – 21 January 2027
FAR 52.217-8:	22 January 2027 – 21 July 2027

Prepared by:

Contracting Officer:

Technical:

Requirements:



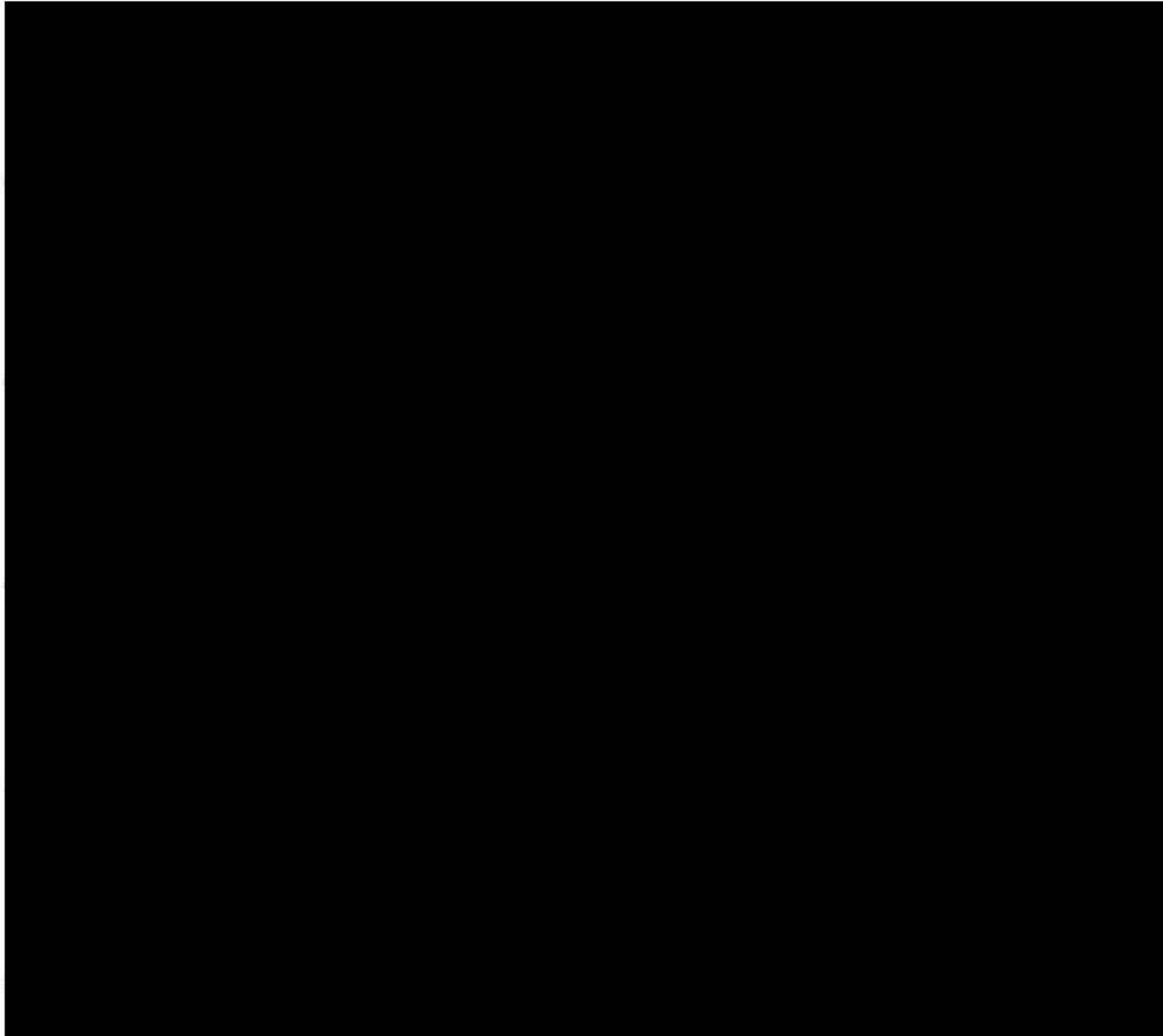
CUI

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HUNTSVILLE ENGINEERING AND SUPPORT CENTER REVIEWERS

I have reviewed this justification and find it adequate to support other than full and open competition.



CUI

Source Selection Information (See FAR 2.101 and 3.104-4)

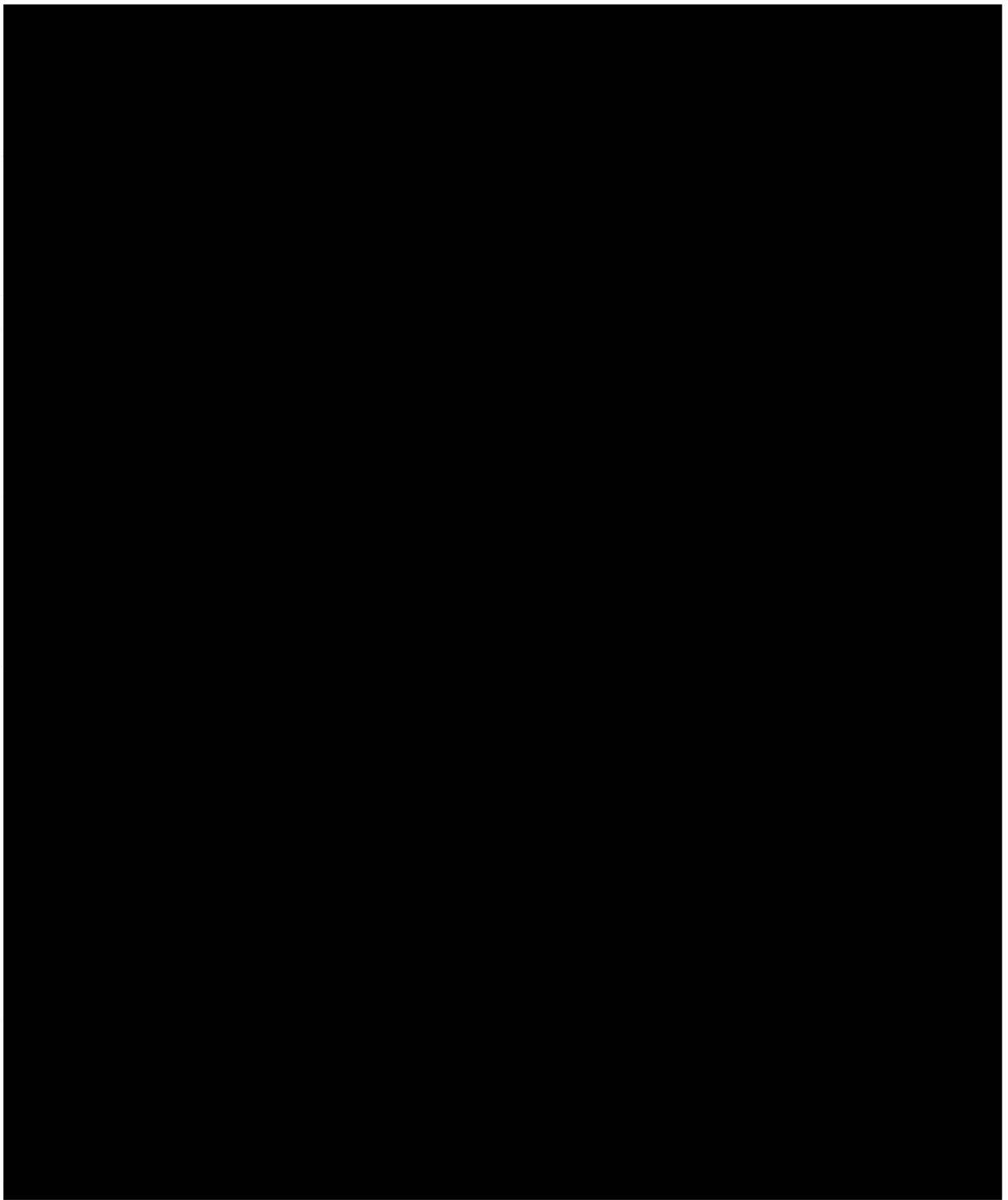
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USACE HEADQUARTERS AND SENIOR CONTRACTING OFFICIAL REVIEWERS

I have reviewed this justification and find it adequate to support other than full and open competition.



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1. Requiring Activity: United States Army Corps of Engineers, Huntsville Engineering and Support Center (CEHNC), 300 Secure Gateway, Redstone Arsenal, Alabama 35808.

2. Contracting Activity: CEHNC, 300 Secure Gateway, Redstone Arsenal, Alabama 35808.

3. Description of Action: This Justification and Approval (J&A) supports an increase to the total ceiling on the fifth iteration of the Utility Monitoring and Control Systems (UMCS V) Multiple Award Task Order Contract (MATOC). The action will increase the total contract value by \$491,395,960.00, from \$2,100,000,000 to \$2,591,395,960. This is a capacity increase only and does not extend the contract ordering period, which currently ends 21 January 2027. The MATOC ordering period consists of a 48-month base period, plus three 12-month option periods, and a potential six-month extension under FAR Clause 52.217-8, Option to Extend Services. If all options are exercised, including 52.217-8, the final ordering period will extend to July 21, 2027. Task orders (TOs) are predominantly funded by annual Operations and Maintenance (O&M) funds. As shown in Table 1, to date, the UMCS Program has awarded 244 TOs under the MATOC, with a cumulative value (including all options) totaling \$2,085,395,960.

4. Description of Supplies/Services: Services provided under the UMCS V MATOC encompass the full lifecycle of designing, installing, securing, and maintenance of a UMCS and the related subsystems necessary for the operation of Government installations, including all personnel, equipment, tools, materials, supervision, other items, and non-personal services necessary for the servicing and/or upgrading of the existing Building Automation Systems (BAS).

A UMCS is a high-level, specialized central platform designed to monitor and manage the utility infrastructure across an entire installation for purposes of operational efficiency, energy conservation, and cost reduction. A UMCS performs functions like tracking base-wide energy consumption, managing peak electrical demand, monitoring the status of central plants (e.g., chiller, boiler, power generation), and providing centralized alarm reporting for critical infrastructure on Department of War (DoW) installations and facilities. A BAS is a computer-based control system installed within a single building to monitor and control its various mechanical and electrical systems and equipment. A BAS directly controls systems such as Heating, Ventilation, and Air Conditioning (HVAC), lighting, access control, and fire/life safety systems based on occupancy, schedules, and sensor readings within the building. The UMCS functions as the master supervisory system, while the individual BAS mechanisms within each building act as local, subordinate control systems.

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Table 1 – UMCS V MATOC Contractors & Current Capacity Used

Contractor Name	Business Size	Base Contract Number	Total Capacity Used per MATOC**	Total Awarded TOs
Axxis Building Systems	Small	W912DY-20-D-0027		
Chinook Systems, Inc.	Small	W912DY-20-D-0028		
Dewberry Design-Builders Inc.	Large	W912DY-20-D-0029		
EPC Service, Inc.	Small	W912DY-20-D-0030		
Honeywell International Inc.	Large	W912DY-20-D-0031		
Johnson Controls Building Automation Systems, LLC	Large	W912DY-20-D-0032		
KBRwyle Technology Solutions, LLC	Large	W912DY-20-D-0033		
M.C. Dean, Inc.	Large	W912DY-20-D-0034		
PTSI Managed Services, Inc.	Large	W912DY-20-D-0035		
Prime Mechanical of Wisconsin, LLC	Small	W912DY-20-D-0036		
SEI Group, Inc.	Small	W912DY-20-D-0037		
Siemens Government Technologies, Inc. (SGT)	Large	W912DY-20-D-0038		
Spectrum Solutions, Inc.	Small	W912DY-20-D-0039		
Stewart Group Enterprises, LLC	Large	W912DY-20-D-0040		
Martek-Aci JV	Small	W912DY-20-D-0074		
Hunter Pacific Group	Small	W912DY-20-D-0077		
Ameresco, Inc.	Small	W912DY-20-D-0078		
Schneider Electric Buildings Critical Systems, Inc.	Large	W912DY-20-D-0079		
Convergint Federal Signet Technologies, Inc.	Large	W912DY-20-D-0080		
Totals:			\$2,085,395,960	244

* Minimum obligation TO. No additional TOs have been awarded to date.

** This column reflects total contract value of awarded Task Orders per MATOC holder.

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Table 2 – Remaining Capacity

Total MATOC Capacity:	\$2,100,000,000
Total Capacity Used to Date:	\$2,085,395,960
Total Remaining Capacity to Date:	\$14,604,040

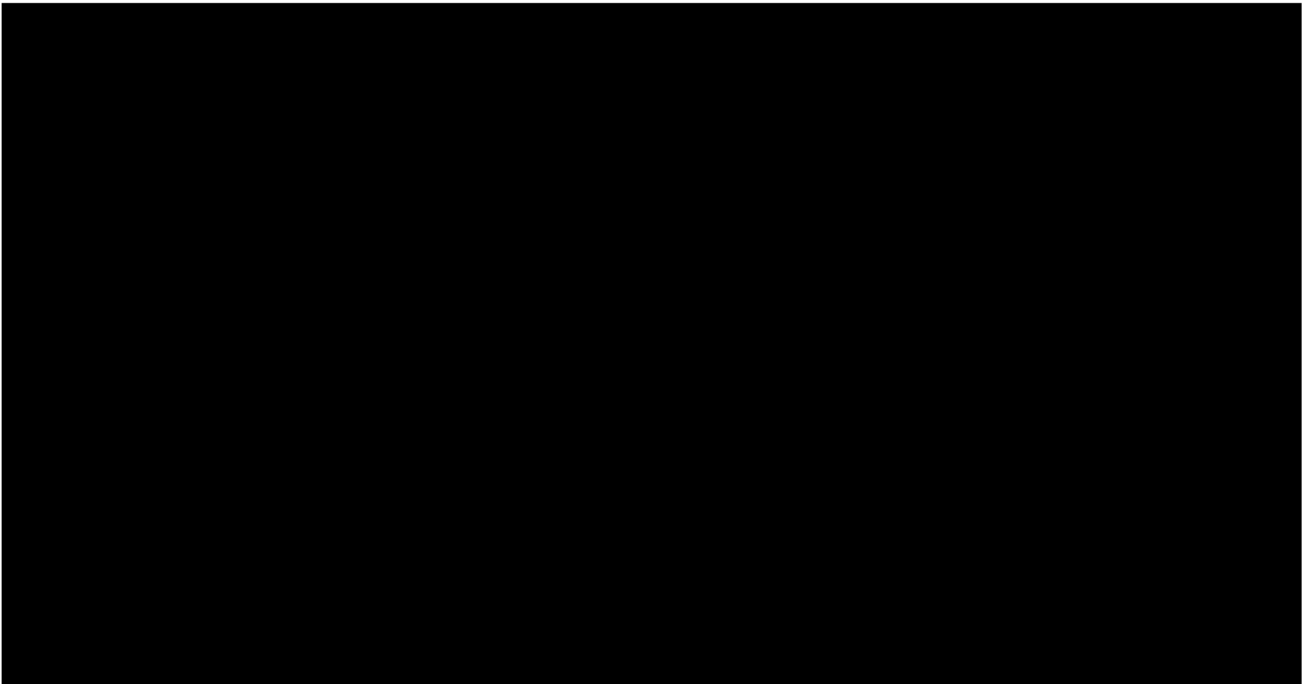
The requested increase in capacity, totaling \$491,395,960.00, is based upon the current remaining capacity and projections for Fiscal Year (FY) 2026 (FY26) which are driven by ongoing project commitments, emerging requirements from [REDACTED]

[REDACTED] This increase is essential to support the execution of critical programs and ensure that the Government can meet its obligations to stakeholders, while maintaining continuity of service and avoiding unnecessary administrative delays. The basis for FY26 projections is discussed in the paragraph below. It is essential to increase the original capacity of the UMCS V MATOC to meet UMCS requirements until the sixth iteration, UMCS VI, is awarded.

It is difficult to project “unknown” requirements for FY26 and beyond given the nature of how and when those requirements become known to the UMCS Program and how our customers are funded. Unlike Military Construction projects with long planning phases, customers typically bring their UMCS requirements to the Program annually during or after second quarter of each FY. Most UMCS customers use expiring O&M funds that often don’t become available to them until later in the FY. As a result, firm requirements often do not materialize until the second, third, or even fourth quarter.

Table 3 identifies projected FY26 new task orders with initial planning estimates. The requested \$491,395,960.00 capacity increase is based upon a combination of \$460,000,000 in known FY26 projects detailed in Table 3 plus an additional 10% contingency to account for variances in cost estimates and emerging critical requirements. The requested \$491,395,960.00 increase in capacity is commensurate with the recent historical burn rate under UMCS V (represented in Table 4), which significantly exceeds original projections and demonstrates a consistent pattern of high-volume, late-in-year demand from customers.

Table 3: FY26 Anticipated Awards

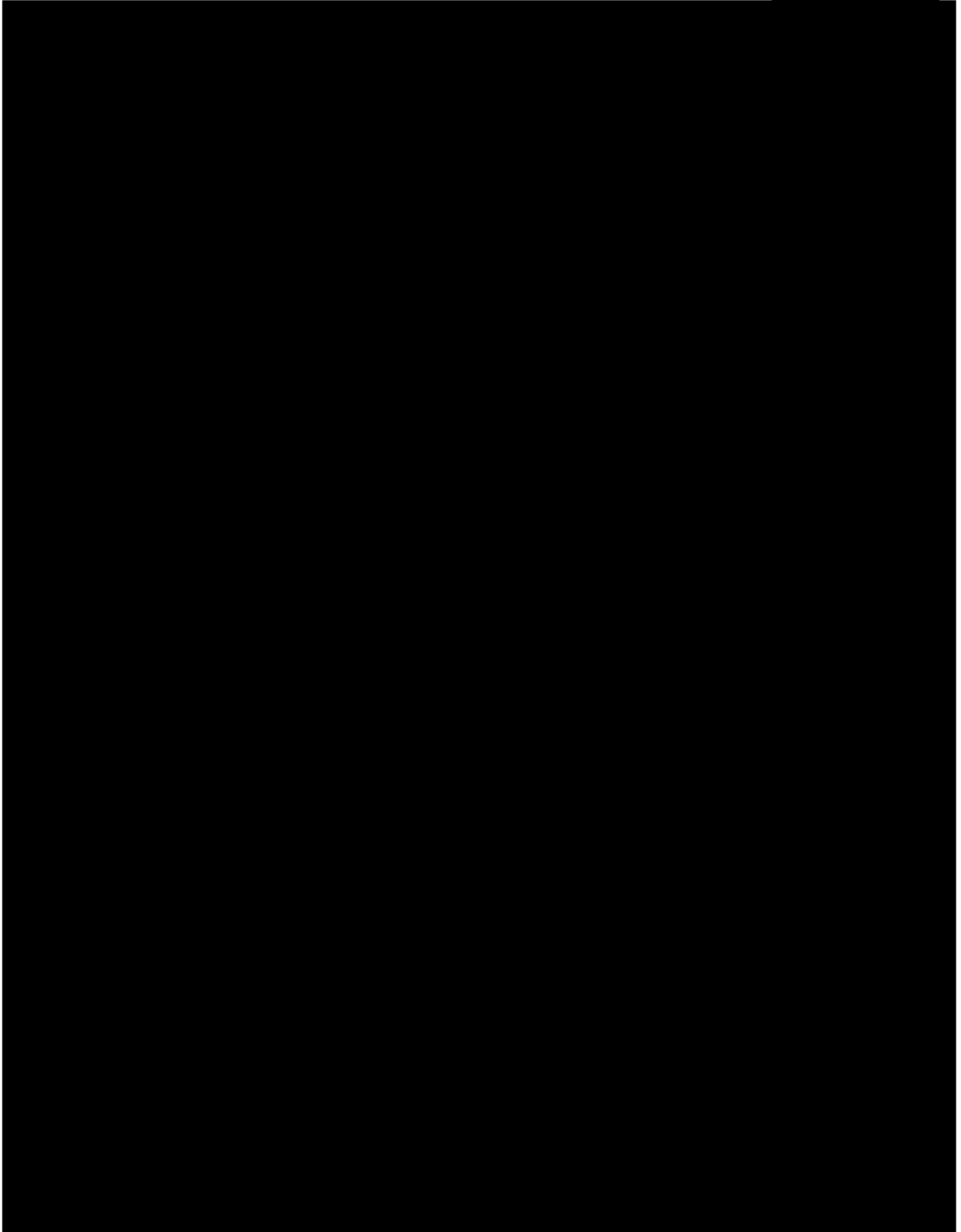


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The current contract expires 21 January 2027 and the competitive follow-on contract, UMCS VI, has a projected award date of 31 March 2027. To avoid a gap in service and ensure continuity of services, the Government will exercise its authority under FAR Clause 52.217-8, Option to Extend Services to extend the UMCS V ordering period until the UMCS VI contracts are awarded. This option affords the UMCS program a maximum six-month extension to the ordering period through 31 July 2027, should unforeseen delays occur in the UMCS VI award. Based upon the projected workload and the inclusion of a 10% contingency for emerging requirements, the \$491,395,960.00 capacity increase to the UMCS V ceiling is sufficient to meet mission requirements during this period.

5. Authority Cited: 10 U.S.C. Section 3204(a)(1), as implemented by RFO 6.103-1(c)(2)(ii) (formerly FAR 6.302-1(a)(2)(iii)(B)), which provides that for DoD, services may be deemed as available from only one source, when awarding a contract for the continued provision of highly specialized services would result in unacceptable delays in fulfilling the agency's requirements.

6. Reason for Authority Cited:

Recognized by USACE Headquarters since 1979, CEHNC serves as the center of expertise for UMCS and continues to be the primary provider of these services to federal installations/facilities. The services provided by UMCS program are highly specialized in nature involving advanced technologies like Internet of Things (IoT) sensors, real-time data networks, and automated control systems to monitor and manage utilities such as electricity, water, gas, and Heating, Ventilation, and Air Conditioning (HVAC). UMCS contractors must have deep knowledge of BAS to design, install, and maintain them effectively. System integration is a core component, requiring contractors to ensure subsystems (e.g., power distribution, environmental controls) function cohesively. This demands specialized engineering skills to align diverse technologies and protocols to ensure seamless integration and maintain high reliability. General contractors can handle mechanical and electrical equipment installation, but they typically lack the expertise to design, install, integrate, and maintain BAS.

There is an ongoing and increasing need for upgrades, routine maintenance, and servicing of the UMCS covered under the current UMCS V MATOC to maintain optimal levels of building automation, monitoring, and control. The competitive follow-on UMCS VI contract has a projected award date of 31 March 2027. The additional capacity increase in the amount of \$491,395,960.00 is required to ensure the UMCS Program can continue to meet mission requirements until UMCS VI is awarded.

a. Background: The \$2,100,000,000 capacity for the UMCS V MATOC was based on an average yearly burn rate of \$300,000,000 over a 7-year period. As depicted below in Table 4, actual capacity burn rates have been significantly higher than anticipated. As shown above in Table 1, to date, \$2,085,395,960 in TOs have been awarded with an average yearly burn rate of \$384,165,730 which is 28% higher than the originally projected yearly burn rate per year (\$300M/yr).

Table 4: UMCS V Actual Burn Rate & Average TO Value by FY

Fiscal Year	Actual Annual Burn Rate	% Δ From Estimated Annual Burn Rate (\$300,000,000/yr.)
Remaining Open FY20 Minimum Guarantee TOs	\$8,000*	
FY20	\$366,813,907	22.27%
FY21	\$203,785,762	-32.07%
FY22	\$423,194,698	41.06%
FY23	\$255,422,383	-14.86%

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FY24	\$394,721,249	31.57%
FY25	\$441,449,961	47.15%

** Minimum guarantee values were not included in calculations of annual burn rates as the overwhelming majority of UMCS V MATOC holders received an award which resulted in these minimum obligations being de-obligated and no longer relevant.*

The increase in UMCS program usage over the past five years has been largely attributed to the Coronavirus Disease 2019 (COVID-19) pandemic, which began three months after the award of UMCS V. The pandemic triggered global shutdowns and severe disruptions in supply chains, resulting in higher prices, longer lead times for materials, and increased labor and service costs. These inflationary pressures were unforeseen when the capacity for UMCS V was originally projected. Labor and material cost increases associated with the pandemic began to stabilize by the end of Calendar Year (CY) 2023; however, there has been no decrease in cost for labor or materials. The accelerated inflation driven by the pandemic effectively re-baselined the cost of labor and materials and will result in higher than originally projected costs for the remainder of the contract. Additionally, United Facilities Criteria (UFC) and code changes required installations to upgrade systems to meet COVID-19 guidelines, driving up expenses even more.

Additional unforeseen requirements driving the higher burn rate include a large 10-year initiative to upgrade building controls at the Pentagon, known as the N2-to-BACnet initiative. N2 and BACnet are both BAS communication protocols, but they are different and not directly compatible. N2 is a proprietary protocol developed by Johnson Controls while BACnet is an open standard protocol. This initiative is an important one as it enhances the UMCS Program's ability to get contract competition on satisfying Washington Headquarters Services (WHS) Pentagon's requirements in reference to these controls, now that they are being converted into an open-source protocol, vice the proprietary N2 protocol that historically required sole-source contracts to maintain. This initiative taken by WHS, Pentagon, to convert their BAS from N2 to BACnet, estimated at [REDACTED] was not known to the UMCS Program at the time the UMCS V MATOC capacity was originally considered, and is currently underway. Now in its third year, with approximately [REDACTED] already invested, the N2-to-BACnet program aims to modernize outdated proprietary control systems and bring them in line with current cybersecurity and operational efficiency standards. This J&A will allow the UMCS Program to continue directly supporting this initiative.

The UMCS program has also experienced a notable increase in usage due to a rise in facilities funding at installations across the DoW, enabling long-overdue repairs and maintenance. These investments have helped address infrastructure issues that have persisted since the 2008 economic downturn, when significant cuts to funding led to a widespread deferral of maintenance.

b. Justification: A \$491,395,960.00 capacity increase for the UMCS V MATOC is required to accommodate ongoing and upcoming TOs, raising the ceiling from \$2,100,000,000 to \$2,591,395,960. This is driven by an unanticipated sustained surge in demand and mission requirements. While the demand from customers seeking to use the UMCS V contract was thought to be accurately forecasted when determining the original award's capacity, rising material costs, cybersecurity compliance requirements, and the integration of advanced technologies (e.g., Artificial Intelligence-driven automation, smart metering, and cloud-based monitoring) have contributed to higher project costs per TO. Additionally, as discussed above, unanticipated additional costs related to the COVID-19 pandemic contributed to depleting the available capacity prematurely. In FY24, the program executed \$394,721,249 in task order awards, a 54% increase from FY23. FY25 continued this trend with \$441,449,961 in task order awards. The FY26 demand is projected to be in line with these figures, driven by heightened cybersecurity requirements, energy resilience initiatives, and DoW's emphasis on modernizing critical infrastructure. The increased capacity ensures availability for mission-critical upgrades.

The heightened cybersecurity requirements have been brought into the limelight with the events of COVID-19 leading to a renewed focus on systems achieving an Authority to Operate (ATO). This was due to the requirement for all control systems and their devices needing to achieve an ATO regardless of if the system is on a network or standalone. There are over 8 billion Operational Technology (OT) devices needing an ATO across the DoW, and the need for cybersecurity efforts has skyrocketed. In order to

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meet the demand, the UMCS PDT Cybersecurity section has enhanced its focus on the technical deliverables required in the RMF process with the intent of delivering to our customers a system that is properly hardened and technically capable of achieving an ATO.

Additionally, in recent years, DoW installations have accelerated efforts to enhance energy resilience — including microgrid integration, backup power system upgrades, distributed energy resource deployments, and improved energy control systems. These initiatives were driven by Executive Orders and DoW mandates for mission assurance and have required extensive planning, design, and implementation support. This sustained focus on energy resilience has consumed a substantial portion of available contract capacity, particularly in the areas of technical assessments, design and installation services, and systems integration. That shift has contributed to accelerated capacity depletion and underscores the need for additional contract capacity to support ongoing and emergent mission-critical priorities.

In addition to this request, the UMCS Program is actively managing the remaining capacity by prioritizing only mission-critical requirements. Maintenance and service requirements that are typically 5-year task orders, will be restricted to a base year plus two 1-year option periods to preserve UMCS V capacity. Simultaneously, the acquisition team for the UMCS VI follow-on is pursuing an aggressive schedule to ensure the projected award date is met and facilitate a seamless transition.

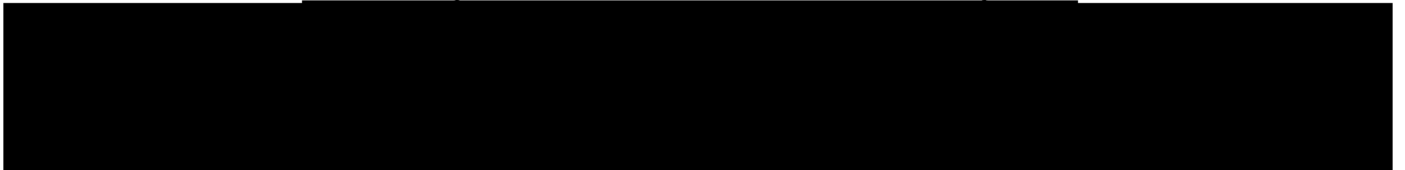
The requested \$491,395,960.00 increase in the UMCS V MATOC ceiling to \$2,591,395,960 is essential to maintain mission readiness, sustain ongoing operations, and ensure a smooth transition to UMCS VI. UMCS VI is scheduled for award in the second quarter FY27. The requested increase in capacity aligns with DoW's current priorities to support critical infrastructure projects and ensure uninterrupted support for warfighter readiness and installation security.

c. Alternatives

(1) New Stand-Alone Type 'C' Contracts: The majority of the CEHNC UMCS Branch's mission is executed in the third (3rd) and fourth (4th) quarters of each FY due to multiple factors, including customer decisions, and whether the Government is in a continuing resolution pushing out receipt of appropriated funding for specific requirements. The program's year end mission requires the ability to quickly award TOs once the requirements package is developed and submitted. The Procurement Administrative Lead Time (PALT) associated with awarding multiple stand-alone contracts is extensive in comparison to new TOs under a MATOC. The timeline for awarding a TO under the UMCS V MATOC, after the requirements package has been submitted to contracting, is approximately six to eight weeks. The nominal timeline for award of a new stand-alone contract is approximately 6 – 9 months between the point of requirement submission and award, depending on dollar value and resulting review thresholds, as well as the complexity of the scope considered. Given the current PDT resource limitations and the majority of UMCS requirements are funded with expiring O&M funds and most requirements packages are received in the 3rd and 4th quarter, "C" type contracts are considered non-viable because they do not allow sufficient time to award a new contract prior to the end of the fiscal year and the expiration of the funding being used.

Reference Table 5 below for a representative comparison of the schedule and cost impacts between the options to execute this J&A vice attempt to award all "C" type standalone contracts.

Table 5: Acquisition Alternatives PALT and Cost Comparison



(2) Recompeting This Requirement. The new UMCS VI MATOC procurement process began in January 2025 and is projected to be awarded on 31 March 2027. The re-compete is a significant undertaking, normally a 24-month process that takes thousands of labor hours. A competitive short term MATOC was considered as a stop gap measure; however, there is no benefit in terms of procurement lead time and cost when compared to the ongoing UMCS VI MATOC procurement. The procurement process is identical and would not result in an award ahead of the UMCS VI award date. Additionally, it would result in a substantial duplication of effort. For these reasons, a separate short term competitive MATOC is not a viable alternative.

(3) Temporary Suspension of New TOs: Temporary suspension of new TOs under the UMCS V MATOC would preclude the UMCS program from completing many of its mission assignments until the new MATOC is awarded. Although this alternative would allow the UMCS program to reserve capacity for higher priority projects, it would put in jeopardy multiple existing systems currently serving DoW personnel and assets. Given that most of the new awards for the UMCS program occur in the third (3rd) and fourth (4th) quarter of each fiscal year, the suspension of new TOs under UMCS V would require the use of another alternate solution such as standalone contracts, which, as stated above, would result in unacceptable delays for executing customer requirements. Therefore, opting for a temporary suspension of new TOs under the UMCS V MATOC would lead to unacceptable delays in meeting the installations requirements, potentially resulting in mission failure for our customers, our Nation's warfighters (see paragraph d. below). This would be an impediment to our Secretary of War's priorities by impacting readiness across DoW both CONUS and abroad.

(4) General Services Administration (GSA): Use of GSA schedules were considered as an alternative execution strategy for individual UMCS requirements, but an in-depth review of the GSA schedules found them to be unsuitable for UMCS requirements. Under a GSA schedule, UMCS requirements would require purchasing services and equipment across a range of Special Item Numbers (SINs) to be able to satisfy the entirety of our technically complex projects. Any given project involves the procurement, installation, and integration of monitoring and controls systems, as well as the procurement and installation on supporting infrastructure (e.g. HVAC systems; fire suppression systems, security systems, and others), that would require the Government to let multiple orders across multiple SINs to fully satisfy single customer requirements. This arrangement presents significant performance risk as it would require the execution agent to become the system integrator across multiple contracts, a function which is performed successfully by our UMCS MATOC contractors. Furthermore, in support of the next generation UMCS VI procurement, a preliminary business case analysis (BCA) was posted to Connect.gov from 14 February 2025 through 13 March 2025. The BCA was posted to determine if existing vehicles can fulfill UMCS requirements. No strategic sources were identified, and no responses were received from any potential sources to include GSA.

d. Impact: Failure to approve this J&A will create an immediate and unacceptable 13-month gap in services, halting DoW's ability to maintain, repair, or modernize UMCS, the associated BAS, and related subsystems for its installations. This inaction introduces immediate life-safety risks, as fire alarm and suppression systems are integral components of a BAS. Furthermore, an unpatched and unmonitored UMCS/BAS is a prime target for adversaries. A successful compromise could allow

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them to disrupt or disable essential facility operations, such as power and water, directly impacting mission readiness and installation security.

The UMCS V MATOC's capacity is almost exhausted, and its replacement, UMCS VI, will not be awarded until March 2027. This delay will directly result in an estimated 38 critical UMCS projects (Table 3) being postponed, leading to mission degradation and higher long-term costs.

Approval of this J&A is critical to sustaining military operations. Installation commanders rely on UMCS to manage critical infrastructure, and a malfunctioning system can have severe consequences. Critical facilities, such as command centers and data centers, could lose power or cooling, disrupting mission-essential operations and damaging sensitive equipment. Without real-time data from these systems, base commanders cannot optimize resource allocation or plan for contingencies. Furthermore, system failures impact the quality of life for personnel through inconsistent heating or cooling in barracks and potential health issues from poor ventilation, affecting morale and readiness.

This J&A is also required to avoid significant financial and procurement burdens. The UMCS V MATOC provides a streamlined, cost-efficient procurement process with pre-vetted, expert contractors. Without the requested increase in capacity, a gap in services will occur, forcing individual installations to pursue their own smaller, more administratively burdensome contracts, further delaying projects. This deferral of necessary work leads to higher future expenses. As cited by the U.S. Government Accountability Office in its January 2022 report, "Defense Infrastructure: DoD Should Better Manage Risks Posed by Deferred Facility Maintenance" (GAO-22-104481), deferring maintenance and modernization leads to significantly higher costs when systems inevitably fail and require more expensive emergency repairs. Failure to approve this J&A will directly compromise mission readiness, introduce unacceptable life-safety and cybersecurity risks, and result in higher future costs.

7. Efforts to Obtain Competition: UMCS V was awarded using full and open competition. All TOs awarded against the UMCS V MATOC are competed IAW FAR 16.505(b), Orders Under Multiple Award Contracts, and Defense Federal Acquisition Regulation Supplement (DFARS) 216.505(b), Orders Under Multiple Award Contracts. UMCS VI is currently in the acquisition planning phase with an anticipated award of 31 March 2027 and will also be awarded using full and open competition.

a. Effective competition: CEHNC solicited and awarded the UMCS V MATOC in accordance with FAR Subpart 6.1, Full and Open Competition and made awards to 19 qualified contractors. Of these, 9 are small businesses that compete for requirements specifically set aside for small business competition. This structure supports small business participation while maintaining a competitive environment. Fair Opportunity, as required under FAR 16.505, is provided for all TOs awarded under the UMCS V MATOC. The competitive process has been effective, with an average of 2 to 5 proposals received for each TO requirement solicited, indicating robust participation and competition among contractors. See section 8, Market Research for additional details.

b. Subcontracting competition: All large business firms under the UMCS V MATOC were required to submit a Small Business Subcontracting Plan prior to award which, at a minimum, should be consistent with their Small Business Participation Plan. Ample opportunity exists for subcontracting with all types of small businesses including Small Disadvantaged Businesses (SDB), Women-Owned Small Businesses (WOSB), HUBZone, Veteran Owned Small Businesses (VOSB), and Service-Disabled Veteran Owned Small Businesses (SDVOSB). By providing subcontracting opportunities to small businesses, the large businesses both formally and informally mentor these businesses by helping them gain experience and increasing their ability to perform at a higher level. This in turn helps the small businesses grow as companies and independently compete for larger projects as prime contractors or first-tier subcontractors. The following small business participation goals were included in UMCS V:

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- Small Business - 20%
- SDB - 8%
- WOSB - 5%
- HUBZone - 2%
- VOSB - 5%
- SDVOSB - 3%

8. Actions to Increase Competition: The UMCS VI MATOC includes a defined process for on-ramping new contractors. This process may be utilized to maintain adequate contractor capacity to fulfill all UMCS requirements and maximize competition. An assessment of the need for additional contractors is conducted before the close of each ordering period. If needed, an on-ramp opportunity will be afforded to contractors. Additionally, recent and ongoing market research conducted in support of this J&A will be used to update/support the market research in support of the UMCS VI upcoming source selection for the new MATOC.

9. Market Research: A notice conveying the intent to increase the capacity of the existing contracts was published to SAM.gov on 9 April 2025 to meet the requirements of FAR Subpart 5.2 and DFARS PGI 206.302-1(d). This notice informed industry of CEHNC's intent to modify the UMCS V MATOCs and solicited capability statements to determine if sources other than the 19 incumbent contract holders could meet the Government's minimum requirements without a substantial duplication of cost or unacceptable delays.

The Government received and analyzed eight responses. While five of the responding firms demonstrated general capabilities relating to UMCS, the analysis concluded that none could be on-ramped to the UMCS V MATOC to perform these specific requirements without incurring unacceptable delays and a substantial duplication of costs already invested in the incumbent pool.

The current MATOC pool was queried to determine any impact to contractor participation and ability to execute additional UMCS requirements that are a result of the increase in capacity in this J&A. There were no negative responses received, and all responses indicate the current contractor pool is positioned to successfully execute additional UMCS requirements without any reduction in competition.

The 19 incumbent UMCS V MATOC holders are the only sources that can satisfy the Government's requirements for the following reasons:

Unacceptable Delays in Fulfilling Agency Requirements- The Procurement Acquisition Lead Time (PALT) to conduct a formal on-ramp, including solicitation, evaluation, and award, is estimated to be 9-12 months. Such a delay would prevent the execution of critical requirements scheduled for the 4th quarter of FY26 and the 1st quarter of FY27, directly impacting mission readiness. Furthermore, the award of the follow-on UMCS VI MATOC is anticipated by 31 March 2027, making a lengthy on-ramping process for this short remaining duration an inefficient and impractical undertaking that fails to meet the Government's schedule needs.

Substantial Duplication of Cost- The Government has made a significant investment in the existing 19 MATOC holders, including costs associated with initial contract award, program-specific training, and security integration. On-ramping new contractors would require a complete duplication of these administrative and technical sunk costs, which is not expected to be recovered through competition for the limited scope of work remaining.

The responses from the NOI will be leveraged as valuable market research for the ongoing UMCS VI acquisition to ensure maximum competition for that future requirement. However, for this immediate out-of-scope action, the 19 incumbent contractors are the only sources possessing the existing contractual infrastructure and program-specific qualifications to perform the work within the required timeline and without causing the Government to incur a substantial duplication of cost. Therefore, pursuant to FAR

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6.302-1, the UMCS V MATOC holders are the only responsible sources available to satisfy these requirements.

10. Interested Sources: As a result of the Notice of Intent (NOI), eight (8) firms not currently on the UMCS V MATOC submitted responses expressing interest. As detailed in the Market Research section, it was determined that these firms could not be added to the UMCS V MATOC for this requirement without causing unacceptable delays and a substantial duplication of costs. All interested sources are eligible and have been encouraged to compete for the upcoming full-and-open competition for the UMCS VI MATOC.

11. Other Facts:

a. Procurement History:

1. **Current IDIQ Contract:** The UMCS V MATOC (22 January 2020 – 21 January 2027) is the fifth generation MATOC for UMCS services, with a total shared capacity of \$2,100,000,000 in which 19 contracts were awarded to 9 small and 10 large businesses, see Table 1.
2. **Previous IDIQ: UMCS IV MATOC** (25 August 2014 – 21 Jan 2020): The 4th generation MATOC for UMCS services was awarded on Jan 2015, FFP contract, with a total shared capacity of \$2,500,000,000 over a 3-year base plus two 1-year optional ordering periods. There were 13 contractors who were awarded a contract which included 8 large and 5 small businesses.
3. **Previous IDIQ: UMCS III MATOC** (23 April 2009 – 31 October 2014): The third generation MATOC for UMCS services with a total shared capacity of \$650,000,000 over a 3-year base plus a single 2-year optional ordering period. There were 16 contractors who were awarded a contract which included 10 large and 6 small businesses.

b. The competitive status of these actions. The UMCS III, IV and V MATOCs shown above were solicited and awarded under full and open competition, with portions of the capacity reserved for small business competition.

c. Authority Previously Used for Other Than Full and Open Competition: Not Applicable (N/A).

d. If a prior contract was accomplished using Full and Open Competition, include details on why sources are being limited. The basis for this J&A is the determination that the pipeline of projects projected for the remainder of the available UMCS V ordering period, and for an additional year beyond the current ordering period as requested herein, are deemed only satisfiable from the sources available in the UMCS V MATOC pool as it is likely that award to any other source would result in unacceptable delays in fulfilling the agency's requirements. Reference the alternative described in paragraph 6.c above.

e. Explanation of unusual patterns in procurement history. N/A – there are no unusual patterns in procurement history.

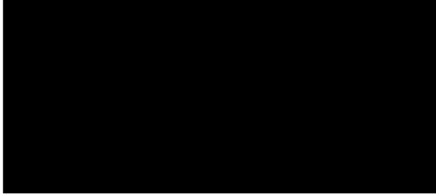
Requirement: Utility Monitoring and Control Systems
Location: CONUS & OCONUS

Control Number: [REDACTED]

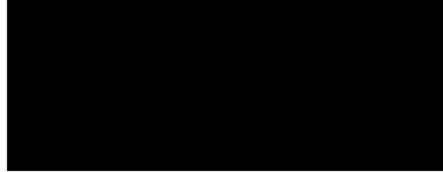
12. Technical Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.



13. Requirements Certification: I certify that the supporting data under my cognizance which are included in the other than full and open competition are accurate and complete to the best of my knowledge and belief.



14. Fair and Reasonable Price Determination: IAW FAR 15.304(c)(1)(ii)(A), Evaluation Factors and Significant Subfactors, price was not included as a factor for award of a MATOC in the UMCS V MATOC pool. Rather, price is evaluated at the Task Order level. Additionally, certified cost and pricing data will not be required to support TO awards under this MATOC as the services procured are determined to be commercial items, IAW FAR 15.403-1(b)(5) Prohibition on obtaining certified cost or pricing data (10 U.S.C. chapter 271 and 41 U.S.C. CHAPTER 35).



15. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.



CUI

Requirement: Utility Monitoring and Control Systems
Location: CONUS & OCONUS

Control Number: [REDACTED]

Approval

Based on the foregoing justification, I hereby approve a capacity increase in the amount of \$491,395,960.00 for the UMCS V MATOC on an other than full and open competition basis pursuant to the authority of 10 U.S.C. §3204(a)(1) as implemented in RFO 6.103-1(c)(2)(ii), "Only one responsible source and no other supplies or services will satisfy agency requirements." The capacity of the UMCS V MATOC will now be \$2,591,395,960. The approval is subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for this acquisition.

[REDACTED]

Head of Contracting Activity

CUI

Source Selection Information (See FAR 2.101 and 3.104-4)